



LAWSUIT REVIEW

The Beall Dean Ranch Legal Update

**5.1M Annexation has hit the courtroom,
we read the docs – hold on to your coffee.**

MEMBERS ONLY SPECIAL FEATURE

RESEARCH & ANALYSIS

The Citizen Research Desk

March 3, 2026 Willow Park, Texas

LEGAL BRIEF

ANALYSIS OF LEGAL EXPOSURE CITY OF WILLOW PARK, TEXAS

City of Aledo and City of Fort Worth v. City of Willow Park

Cause No. CV26-0175

43rd Judicial District Court, Parker County, Texas

Re: Annexation of the Beall Dean Ranch

(Approximately 317.732 Acres, F.H. Hammon & Related Surveys, Parker County)

Prepared by: The Citizen Research Desk

March 2, 2026

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Prepared by The Citizen using an AI-assisted document analysis system. All underlying data is sourced from publicly filed court records in Cause No. CV26-0175, 43rd Judicial District Court, Parker County, Texas. The Citizen verified content against primary source documents. This analysis does not constitute legal advice. March 2026.

I. EXECUTIVE SUMMARY

This brief analyzes the legal exposure of the City of Willow Park, Texas arising from its annexation of approximately 317.732 acres owned by Beall-Dean Ranch, Ltd. in Parker County. The analysis is based on a comprehensive review of all filings in Cause No. CV26-0175, City of Aledo and City of Fort Worth v. City of Willow Park, pending in the 43rd Judicial District Court of Parker County, Texas.

The City of Aledo and the City of Fort Worth filed suit in February 2026, alleging that Willow Park unlawfully expanded its extraterritorial jurisdiction (ETJ), accepted a voluntary annexation petition, and completed the annexation of the Beall Dean Ranch property in violation of the Texas Local Government Code. Beall-Dean Ranch, Ltd. has intervened in the suit in support of Willow Park.

Bottom Line: Willow Park faces substantial but defensible legal exposure. The central question is whether the property was lawfully within Willow Park’s ETJ at the time of the voluntary annexation petition. If the court determines the property was within Aledo’s ETJ—not Willow Park’s—the entire annexation chain (ETJ expansion, development agreement, annexation ordinances, PID, and related financial instruments) collapses. Additionally, Willow Park faces a serious near-term procedural risk: Aledo’s emergency motion to disqualify Willow Park’s lead counsel, Messer Fort PLLC, based on a concurrent-representation conflict of interest. If granted, Willow Park would be forced to retain new counsel mid-litigation at significant cost and delay.

II. CASE OVERVIEW

Case: City of Aledo and City of Fort Worth v. City of Willow Park, Cause No. CV26-0175, 43rd Judicial District Court, Parker County, Texas.

Filed: February 2026.

Claims: Declaratory judgment under the Texas Uniform Declaratory Judgments Act (UDJA); application for temporary restraining order (TRO) and temporary injunction.

Relief Sought: Plaintiffs seek a judicial declaration that Willow Park’s ETJ expansion and subsequent annexation of the Beall Dean Ranch are void and without legal effect, together with injunctive relief preventing Willow Park from exercising municipal authority over the property.

III. PARTIES AND THEIR ROLES

A. Plaintiffs

1. City of Aledo (Population approximately 5,000; general-law municipality)

Aledo claims the Beall Dean Ranch property has been within its ETJ since the city’s establishment and that the property remains subject to its jurisdiction. Aledo has an existing development agreement with Levens Capital Partners, LLC for the “Dean Ranch” property, executed June 23, 2022 under LGC § 212.172, which demonstrates its historical exercise of ETJ authority over this area. Aledo argues that Willow Park’s ETJ expansion and annexation effectively strip Aledo of jurisdiction over property it has actively regulated.

Counsel: Taylor, Olson, Adkins, Sralla & Elam, LLP (TOASE) — Tammy Ardolf (attorney-in-charge), Alicia K. Kreh, Rachel Raggio, Natalee Maxwell.

2. City of Fort Worth (Population 900,000+; home-rule municipality)

Fort Worth's involvement arises from the SB 2038 ETJ release mechanism. Under LGC § 42.105(c), property owners may petition to be released from a city's ETJ. Fort Worth contends that property released from its ETJ under SB 2038 cannot simply be absorbed by another city (Willow Park) through a voluntary ETJ expansion scheme. Fort Worth's interest is both jurisdictional (protecting its ETJ framework) and precedential (preventing erosion of its ETJ authority through cascading voluntary releases and strategic re-captures by smaller cities).

Counsel: City of Fort Worth Law Department — Christopher Mosley, Rich McCracken.

B. Defendant

City of Willow Park (Population approximately 6,300; Type A general-law municipality)

Willow Park is the defendant city that accepted the voluntary annexation petition from Beall-Dean Ranch, expanded its ETJ to encompass the property, entered into a development agreement, and completed the annexation through Ordinance No. 918-25 (effective February 11, 2025). Willow Park's position is that the property was lawfully released from Fort Worth's ETJ under SB 2038, that the property was not within Aledo's ETJ, and that Beall-Dean Ranch voluntarily petitioned for inclusion in Willow Park's ETJ and subsequent annexation under LGC §§ 42.022, 43.0671.

Counsel: Messer Fort PLLC — Wm. Andrew Messer, Bradford E. Bullock, Arturo D. Rodriguez Jr., Julie Fort, Sherry Brown, Ashlin Guzman. City Attorney: William P. Chesser.

C. Intervenor

Beall-Dean Ranch, Ltd. (Limited Partnership; Robert S. Beall, Manager of RSB Realty Investment LLC, General Partner)

The landowner that petitioned for voluntary inclusion in Willow Park's ETJ and voluntary annexation. Beall-Dean Ranch intervened in support of Willow Park, asserting that its property rights include the right to choose which municipality to petition for ETJ inclusion and annexation. The Ranch has a direct financial interest in maintaining the validity of the development agreement, PID, and related financial instruments.

Counsel: Winstead PC — Arthur J. Anderson.

D. Non-Parties of Interest

Kimley-Horn and Associates, Inc. — Engineering/consulting firm subpoenaed by Willow Park for documents related to Fort Worth and Aledo's ETJ. Has filed a Motion to Quash the subpoena through in-house counsel Caroline S. Lawhorn.

Freese and Nichols, Inc. — Engineering firm also subpoenaed by Willow Park for similar ETJ-related documents. Production deadline March 5, 2026.

Hilltop Securities (Jason Hughes) — Financial advisor retained by Willow Park to structure the PID and TIRZ financial instruments for the Beall Dean Ranch development. Not a party but relevant to the financial exposure analysis.

Parker County ESD No. 1 — Emergency services district that entered into a sales tax allocation interlocal agreement with Willow Park regarding the annexed territory. 20-year term.

IV. FACTUAL TIMELINE

The following chronology, assembled from the court filings and attached exhibits, establishes the sequence of events leading to the current dispute:

Date	Event
1963	Texas enacts Municipal Annexation Act, creating ETJ framework. Fort Worth, Aledo, and Willow Park each acquire ETJ radius based on population under LGC § 42.021.
2016–2017	Weatherford v. Willow Park (CV-16-1468): Agreed Judgment requires Willow Park to disannex 81.928 acres, pay \$30,000 in fees, and comply with all annexation laws going forward. Establishes judicial precedent of Willow Park annexation issues.
2019	SB 6 restructures Texas annexation law. Consent-based annexation becomes the default under LGC Ch. 43, Subch. C-1.
June 23, 2022	Aledo executes Development Agreement with Levens Capital Partners, LLC for "Dean Ranch" property under LGC § 212.172, demonstrating active ETJ governance over the area.
March 2022	Bridges Baker Surveyors prepares survey of Beall Dean Ranch property (321.456 acres).
2023	Texas Legislature passes SB 2038, creating ETJ release petition mechanism (LGC §§ 42.101–42.105, 42.151–42.156). Multiple cities (Grand Prairie, Aledo, Anna, Cibolo, Brownsville) file constitutional challenge in Travis County (D-1-GN-23-007785).
March 28, 2024	Aledo denies ETJ release petition from Brothers in Christ Properties LLC, demonstrating active ETJ enforcement in the area.
Nov. 12, 2024	Willow Park City Council (4-0 vote; Mayor Moss and Councilmember Crummel absent) passes: (1) Ordinance 914-24 (ETJ expansion over 321 acres); (2) Resolution authorizing Development Agreement with Beall-Dean Ranch; (3) Resolution accepting annexation petition and setting public hearing per § 43.0672; (4) Resolution accepting PID petition; (5) Hilltop Securities PID advisory agreement; (6) ESD #1 sales tax allocation agreement (20-year term); (7) \$5.135M Certificates of Obligation for water/wastewater.
Jan. 14, 2025	Public hearings held on proposed annexation of Beall Dean Ranch and 10.98-acre E. Bankhead Highway right-of-way.
Feb. 11, 2025	Willow Park City Council (5-0 vote, all members present) passes: (1) Ordinance 917-25 (annexation of 10.98 acres E. Bankhead Highway ROW under § 43.1055); (2) Ordinance 918-25 (annexation of 317.732 acres Beall-

	Dean Ranch under § 43.0671); (3) ESD #1 interlocal agreement (6-0 vote). Signed by Mayor Doyle Moss; filed as Parker County Document No. 202503850.
Feb. 25, 2025	Willow Park Council approves Feb. 11 minutes; approves Chapter 380 Economic Development Agreement with Pulido's Westland Willow Park LLC.
Feb. 2026	Aledo and Fort Worth file suit (CV26-0175). Aledo files Emergency Motion to Disqualify Messer Fort PLLC. Beall-Dean Ranch files Plea in Intervention. Willow Park issues subpoenas to Kimley-Horn and Freese and Nichols.

V. LEGAL CLAIMS ASSERTED AGAINST WILLOW PARK

A. Unlawful ETJ Expansion

Aledo and Fort Worth allege that Willow Park's expansion of its ETJ to encompass the Beall Dean Ranch property was unauthorized under Texas law. The argument proceeds on multiple grounds:

- **Contiguity/Adjacency Requirement:** Under LGC § 42.022(b), a city may only extend its ETJ to areas that are contiguous and adjacent to its existing boundaries. Plaintiffs contend the Beall Dean Ranch property was not contiguous to Willow Park's ETJ at the time of the expansion, and that the 10.98-acre road annexation (Ordinance 917-25) was a manufactured "corridor" designed solely to create artificial contiguity.
- **Competing ETJ Claims:** Aledo asserts the property has been within its ETJ since its incorporation and that a city cannot unilaterally expand its ETJ into another city's existing ETJ. Under LGC § 42.021, ETJ boundaries are determined by population-based radii and existing city limits, and overlapping claims are typically resolved by the first-in-time rule.
- **SB 2038 § 42.105(e) Limitation:** LGC § 42.105(e) provides that property released from one city's ETJ "may not be included in the extraterritorial jurisdiction of another municipality unless the owner of the property requests to be included." Plaintiffs argue this provision does not authorize wholesale ETJ expansion by a receiving city—it merely permits individual owner requests, and Willow Park's Ordinance 914-24 exceeds this statutory mechanism.

B. Invalid Voluntary Annexation

Plaintiffs challenge the validity of Ordinance No. 918-25 (the annexation of 317.732 acres) on the grounds that:

- **Jurisdictional Prerequisite Not Met:** Under LGC § 43.014, a city may only annex areas within its ETJ. If the ETJ expansion is void, the annexation necessarily fails because the property was never lawfully within Willow Park's ETJ.
- **Procedural Deficiencies:** While the filings show Willow Park followed the consent-based process under LGC § 43.0671 (voluntary petition by landowner, public hearing,

services agreement under § 43.0672), the underlying jurisdictional defect would render these procedural steps moot.

C. Violation of Prior Court Order

The 2017 Agreed Judgment in *Weatherford v. Willow Park* (CV-16-1468) specifically required Willow Park to “comply with all applicable provisions of state law governing municipal annexation.” Plaintiffs will likely argue that any annexation found to violate state law also constitutes a violation of this prior court order, potentially exposing Willow Park to contempt sanctions in addition to the declaratory and injunctive relief sought in this case. The prior judgment establishes a pattern of Willow Park overreaching its annexation authority.

D. Declaratory and Injunctive Relief

Under the Texas Uniform Declaratory Judgments Act (Tex. Civ. Prac. & Rem. Code Ch. 37), Plaintiffs seek declarations that: (1) Ordinance No. 914-24 (ETJ expansion) is void; (2) Ordinance No. 918-25 (annexation) is void; (3) the Development Agreement between Willow Park and Beall-Dean Ranch is void; and (4) all related instruments (PID, TIRZ, interlocal agreements) are without legal effect. They also seek temporary and permanent injunctive relief prohibiting Willow Park from exercising any municipal authority over the property.

VI. WILLOW PARK’S DEFENSES AND POSITION

Based on the Defendant’s Original Answer and the procedural record, Willow Park’s defense strategy appears to rest on the following pillars:

- **Lawful SB 2038 Release:** The property was properly released from Fort Worth’s ETJ through the SB 2038 petition process. Once released, the property was in “no man’s land”—not within any city’s ETJ—and the landowner had the statutory right under § 42.105(e) to request inclusion in another city’s ETJ.
- **Voluntary Petition:** Robert S. Beall, as Manager of the General Partner, voluntarily petitioned Willow Park for ETJ inclusion and voluntary annexation. This satisfies the consent-based framework of post-SB 6 Texas annexation law.
- **Full Procedural Compliance:** Willow Park followed all statutory procedural requirements: public hearings (January 14, 2025), notice publication in the Community News, annexation services agreement under § 43.0672, and recorded the ordinance with the Parker County Clerk.
- **General Denials:** Willow Park’s Answer includes broad general denials and reserves affirmative defenses including standing, ripeness, and governmental immunity.
- **Discovery Offensive:** Willow Park has issued subpoenas to Kimley-Horn and Freese and Nichols seeking 10 categories of documents related to Fort Worth and Aledo’s ETJ boundaries, suggesting Willow Park intends to challenge the factual basis of Aledo’s ETJ claim over the property.

VII. EMERGENCY MOTION TO DISQUALIFY COUNSEL

One of the most consequential near-term issues is Aledo's Emergency Motion to Disqualify Messer Fort PLLC from representing Willow Park in this case.

A. The Conflict

Messer Fort PLLC currently represents the City of Aledo as plaintiff in *City of Grand Prairie et al. v. State of Texas* (Cause No. D-1-GN-23-007785, Travis County), a constitutional challenge to SB 2038. In that case, Messer Fort attorneys (Bradford E. Bullock, Arturo D. Rodriguez Jr., and Wm. Andrew Messer) are actively arguing that SB 2038's ETJ release mechanism is unconstitutional.

Simultaneously, Messer Fort has been retained by the City of Willow Park in this case (CV26-0175), where Willow Park's defense depends in part on the validity and proper application of SB 2038's ETJ release mechanism. The firm is literally arguing against SB 2038 for one client (Aledo) while relying on SB 2038 for another client (Willow Park).

B. Exposure Assessment

Risk Level: HIGH. This is a textbook concurrent-client conflict under Texas Disciplinary Rules of Professional Conduct Rule 1.06. The interests of Aledo and Willow Park are directly adverse in this litigation. Even if the firm argues the SB 2038 case is a separate matter, the overlapping legal questions (ETJ validity, SB 2038 constitutionality, Aledo's ETJ claims) create an irreconcilable conflict.

If the court grants the disqualification motion, Willow Park will need to retain entirely new counsel—likely another municipal law firm familiar with Texas annexation law—in the middle of active litigation. This would cause significant delay, increased legal costs, and potential strategic disadvantage as new counsel gets up to speed on a complex case.

VIII. COMPREHENSIVE EXPOSURE ANALYSIS

The following analysis categorizes Willow Park's exposure across multiple dimensions:

A. Jurisdictional/ETJ Exposure (PRIMARY RISK)

Risk Level: HIGH. This is the core vulnerability. The entire annexation chain depends on Willow Park's ETJ lawfully encompassing the property.

The critical factual question is whether the Beall Dean Ranch property was within Aledo's ETJ at the time Willow Park passed Ordinance 914-24 (ETJ expansion, November 12, 2024). Under LGC § 42.021, ETJ is determined by a city's population-based radius measured from its city limits. Aledo, with a population of approximately 5,000, has a 1-mile ETJ radius. The question is whether the Beall Dean Ranch falls within that 1-mile radius.

If the property was simultaneously released from Fort Worth's ETJ (via SB 2038) but had always been within Aledo's independent ETJ radius, the SB 2038 release from Fort Worth does not affect Aledo's pre-existing ETJ claim. This appears to be the strongest arrow in Plaintiffs' quiver:

the SB 2038 release only removed Fort Worth's ETJ overlay, but Aledo's ETJ existed independently by operation of law.

Willow Park's best counter-argument is that the property was never within Aledo's ETJ (either because Aledo's radius does not reach the property or because of historical boundary adjustments). The subpoenas to Kimley-Horn and Freese and Nichols suggest Willow Park is seeking mapping and engineering data to support this position.

B. Annexation Procedural Exposure (MODERATE RISK)

Risk Level: MODERATE. If the ETJ question is resolved in Willow Park's favor, the procedural record appears substantially sound.

The filings show Willow Park followed the consent-based annexation procedures: voluntary petition by landowner (§ 43.0671), public hearing with published notice (§ 43.063), annexation services agreement (§ 43.0672), and ordinance recorded with the county clerk. However, two procedural concerns merit attention:

- **Corridor Annexation:** The 10.98-acre E. Bankhead Highway right-of-way annexation (Ordinance 917-25, under § 43.1055) appears designed to create a physical corridor connecting Willow Park's existing city limits to the Beall Dean Ranch. While § 43.1055 authorizes annexation of county rights-of-way, Plaintiffs will argue this was a pretext to manufacture contiguity—a classic annexation challenge in Texas jurisprudence.
- **General-Law City Limitations:** Willow Park is a Type A general-law city. General-law cities possess only those powers expressly granted by statute, unlike home-rule cities which enjoy broad residual authority. Any annexation action not expressly authorized by the Local Government Code is ultra vires. Plaintiffs may argue that the creative use of § 42.022 (voluntary ETJ expansion) combined with § 43.1055 (road corridor) and § 43.0671 (voluntary annexation) stretches the general-law city's statutory authority beyond its permissible bounds.

C. Financial Instrument Exposure (SIGNIFICANT RISK)

Risk Level: SIGNIFICANT. If the annexation is voided, all dependent financial instruments collapse.

The November 12, 2024 council meeting approved a cascade of financial commitments tied to the Beall Dean Ranch annexation:

- \$5,135,000 in Certificates of Obligation (Series 2024A) for water and wastewater infrastructure
- Public Improvement District (PID) creation and Hilltop Securities advisory agreement
- Tax Increment Reinvestment Zone (TIRZ) contemplated in the Development Agreement
- 20-year Sales Tax Allocation Agreement with Parker County ESD No. 1
- Chapter 380 Economic Development Agreements (Pulido's Westland)

If the court voids the annexation, Willow Park faces the prospect of having issued \$5.135 million in certificates of obligation for infrastructure serving property that is no longer within its city limits. The PID and TIRZ instruments would similarly fail, as they depend on valid municipal

jurisdiction over the assessed/taxed property. The interlocal agreement with ESD No. 1 would need to be unwound. The financial exposure from these instruments could dwarf the litigation costs.

D. Prior Judgment Exposure (ELEVATED RISK)

Risk Level: ELEVATED. The 2017 *Weatherford v. Willow Park* Agreed Judgment creates a unique vulnerability.

The prior judgment in CV-16-1468 required Willow Park to disannex 81.928 acres and to “comply with all applicable provisions of state law governing municipal annexation.” This is a court order, not merely a policy commitment. If the court in this case finds that Willow Park’s annexation of the Beall Dean Ranch violated state law, Plaintiffs could potentially seek contempt sanctions based on the prior order. At minimum, the prior judgment will be used as evidence of a pattern of aggressive annexation practices by Willow Park, undermining the city’s credibility with the court.

E. Attorney Disqualification Exposure (HIGH NEAR-TERM RISK)

Risk Level: HIGH. As discussed in Section VII, the concurrent-representation conflict is serious and well-documented in the motion.

The motion includes the firm’s own briefing from the SB 2038 case, demonstrating that Messer Fort attorneys authored detailed constitutional arguments against SB 2038—arguments that directly undermine Willow Park’s reliance on SB 2038 in this case. The eService certificate confirms the overlapping attorneys (Bullock, Rodriguez, Messer). A disqualification order would force Willow Park to start over with new counsel, incurring substantial additional expense and delay.

IX. SB 2038 CONSTITUTIONAL CHALLENGE (RELATED PROCEEDING)

The separate case of *City of Grand Prairie et al. v. State of Texas* (D-1-GN-23-007785, Travis County) is directly relevant to this dispute. In that case, multiple plaintiff cities—including Aledo, represented by Messer Fort PLLC—challenge SB 2038 on the following Texas Constitutional grounds:

- **Unconstitutional Delegation of Legislative Power (Art. II, § 1):** SB 2038 delegates the power to alter municipal boundaries (ETJ) to individual property owners without meaningful standards or safeguards, failing the Texas Boll Weevil 8-factor test.
- **Void Local/Special Law (Art. III, § 56):** SB 2038 operates as a local or special law because its effects vary based on individual property owners’ decisions, creating arbitrary geographic impacts.
- **Due Process Violation (Art. I, § 19):** No notice or hearing is provided to neighboring property owners or cities whose development agreements, infrastructure investments, and regulatory frameworks are impaired by ETJ releases.
- **Equal Protection Violation (Art. I, § 3):** SB 2038 treats similarly situated landowners differently based on fluctuating property values (the \$20M/\$50M threshold), creating irrational classifications.

- **Conflict with LGC § 42.023:** SB 2038 allows unilateral ETJ reduction by property owners, directly conflicting with § 42.023's requirement that a city consent to reduction of its own ETJ.

Relevance to This Case: If the Travis County court strikes down SB 2038, the entire predicate for the Beall Dean Ranch's release from Fort Worth's ETJ collapses. The property would revert to Fort Worth's ETJ, and Willow Park's ETJ expansion and annexation would be built on a voided statutory foundation. Conversely, if SB 2038 is upheld, Willow Park's position is strengthened—but the separate ETJ overlap question with Aledo remains.

X. KEY WILLOW PARK PERSONNEL

Name	Role	Significance
Doyle Moss	Mayor	Signed Ordinance 918-25 and the prior Weatherford Agreed Judgment; absent from Nov. 12, 2024 meeting where ETJ expansion, DA, and PID were approved
Lea Young	Mayor Pro Tem	Presided over Nov. 12, 2024 meeting in Mayor's absence; cast deciding votes
Bryan Grimes	City Manager	Led staff discussions on water, wastewater, utility rates, zoning for annexed property
William P. (Pat) Chesser	City Attorney	Stated ETJ expansion was "first step of annexation as contemplated by the Development Agreement"; approved form of Ordinance 918-25
Toni Fisher / Deana McMullen	City Secretary (interim / successor)	Attested annexation ordinances; Fisher served during critical Nov. 2024–Feb. 2025 period; McMullen certified final ordinances
Robert S. Beall	Beall-Dean Ranch Manager/GP	Signed voluntary ETJ petition; addressed council; the driving force behind the annexation and development

XI. RISK ASSESSMENT MATRIX

Risk Category	Likelihood	Impact	Key Factor
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ETJ jurisdictional challenge succeeds	Medium-High	Critical	Depends on Aledo's ETJ radius reaching the property; engineering/survey evidence will be decisive
Attorney disqualification granted	High	High	Concurrent representation is well-documented; conflict appears clear under TDRPC 1.06
Annexation ordinances voided	Medium	Critical	Follows from ETJ challenge; if ETJ expansion void, annexation is ultra vires
Financial instruments invalidated	Medium	Severe	\$5.135M in certificates of obligation, PID, TIRZ, ESD interlocal all at risk
Prior judgment violation found	Low-Medium	High	Contempt sanctions possible if court finds annexation laws violated again
SB 2038 struck down (Travis Co.)	Medium	Critical	Would eliminate statutory basis for ETJ release from Fort Worth
TRO/injunction granted	Medium	High	Would freeze Willow Park's governance of property pending trial; disrupts development

XII. CONCLUSIONS AND STRATEGIC OBSERVATIONS

1. The ETJ question is dispositive. If the court determines the Beall Dean Ranch was within Aledo's ETJ at the time of Willow Park's ETJ expansion, the entire annexation chain fails. All of Willow Park's arguments about procedural compliance and landowner consent become irrelevant if the city lacked jurisdiction from the outset. The engineering and survey evidence subpoenaed from Kimley-Horn and Freese and Nichols will be critical to resolving this question.

2. The corridor annexation is a significant vulnerability. The 10.98-acre E. Bankhead Highway right-of-way annexation under § 43.1055 appears to have been engineered specifically to create contiguity between Willow Park's existing limits and the Beall Dean Ranch. Texas courts have historically scrutinized "shoestring" or "corridor" annexations, and this one is particularly narrow (a road right-of-way). If the court finds this was a pretext to circumvent contiguity requirements, the annexation fails on independent procedural grounds.

3. The attorney disqualification motion must be addressed immediately. Regardless of the merits of the underlying case, Willow Park faces an acute near-term risk from the Messer Fort disqualification motion. The concurrent-representation conflict is well-documented and appears to present a textbook Rule 1.06 violation. Willow Park should be preparing contingency plans for alternative counsel.

4. The financial exposure amplifies the litigation stakes. With \$5.135 million in certificates of obligation already approved and PID/TIRZ instruments in various stages of implementation, the financial consequences of an adverse ruling extend far beyond legal fees. Willow Park taxpayers may ultimately bear the cost of infrastructure investments in property the city no longer controls.

5. The prior Weatherford judgment creates a credibility problem. The fact that Willow Park has been through this before—required by a court to disannex property and comply with annexation laws—will be difficult to overcome with the trial court. Even if the legal analysis favors Willow Park on the merits, the prior judgment creates an unfavorable narrative.

6. The SB 2038 Travis County case is a wild card. The constitutional challenge to SB 2038 could fundamentally alter the landscape of this dispute. If SB 2038 is struck down, the statutory mechanism by which the property left Fort Worth’s ETJ is invalidated, potentially mooted Willow Park’s entire position. Conversely, if SB 2038 is upheld, it strengthens the argument that the property was properly released—though the Aledo ETJ overlap question remains independent.

7. The November 12, 2024 council meeting deserves scrutiny. The fact that Mayor Moss and Councilmember Crummel were absent when the council approved seven major agenda items (ETJ expansion, DA authorization, annexation petition acceptance, PID petition, Hilltop Securities agreement, ESD interlocal, and \$5.135M in certificates of obligation) in a single meeting is notable. While a quorum was present (4 of 6), the compressed timeline and volume of major approvals in a single session—all related to a single development—may invite scrutiny regarding the deliberative process and compliance with the Open Meetings Act.

ADDENDUM A

DETAILED FINANCIAL CONSEQUENCE ANALYSIS

Adverse Ruling Scenario: All Annexation Ordinances Voided

This addendum expands on Section VIII.C of the main brief to provide a detailed, instrument-by-instrument analysis of the financial consequences Willow Park faces in the event of an adverse ruling that voids Ordinance No. 914-24 (ETJ expansion), Ordinance No. 917-25 (road corridor annexation), and Ordinance No. 918-25 (317.732-acre Beall Dean Ranch annexation). All of these financial instruments were approved as an interlocking package at essentially two council meetings (November 12, 2024 and February 11, 2025), and the failure of the jurisdictional predicate causes a cascading collapse of the entire financial architecture.

1. Certificates of Obligation — \$5,135,000 (Series 2024A)

Instrument: Certificates of Obligation, Series 2024A, authorized by the Willow Park City Council on November 12, 2024 (4-0 vote, Mayor Moss and Councilmember Crummel absent). Designated for water and wastewater infrastructure to serve the Beall Dean Ranch development.

Nature of the Obligation

Certificates of obligation under Texas Local Government Code Chapter 271, Subchapter C, are a general obligation of the issuing city. Unlike revenue bonds (which are repaid solely from a specific revenue stream) or PID bonds (which are repaid by special assessments on benefited properties), certificates of obligation are backed by the city's full faith and credit—meaning Willow Park's ad valorem taxing power and available revenue. This is the critical distinction: the debt follows the city, not the property.

Adverse Ruling Consequence

If the annexation is voided, Willow Park still owes the full \$5,135,000 in principal plus interest to bondholders. The city would have financed water and wastewater infrastructure for property that is no longer within its municipal boundaries and over which it has no taxing or regulatory authority. The city cannot levy utility fees, property taxes, or connection charges on the Beall Dean Ranch to service this debt because the property would revert to unincorporated Parker County (or Aledo's ETJ).

Practical Impact

For a Type A general-law city of approximately 6,300 residents, absorbing \$5.135 million in stranded infrastructure debt represents roughly \$815 per capita. The debt service would fall entirely on existing Willow Park taxpayers and ratepayers, with no offsetting revenue from the development the infrastructure was designed to serve. Depending on the repayment schedule (typically 15–25 years for certificates of obligation), this could require a property tax rate increase or significant reductions in other city services to maintain debt coverage ratios required by existing bond covenants.

Key Variable: Whether the certificates have been issued and bond proceeds disbursed. If construction has already commenced on water/wastewater lines extending to the Beall Dean Ranch property, the exposure is fully crystallized. If the certificates have not yet been marketed, the city could potentially avoid issuance—but the authorization and any preparatory costs (engineering, design, legal fees for bond issuance) are sunk.

2. Public Improvement District (PID)

Instrument: PID created by acceptance of petition from Beall-Dean Ranch on November 12, 2024 (4-0 vote). Public hearing scheduled for December 10, 2024. Financial advisory agreement with Hilltop Securities (Jason Hughes) approved at the same meeting.

Nature of the Instrument

A Public Improvement District under LGC Chapter 372 allows a city to levy special assessments on properties within a defined district to fund public improvements—streets, water, drainage, parks, and related infrastructure. The PID model is widely used in Texas master-planned communities because the development effectively finances its own infrastructure through assessments that run with the land, rather than burdening the city’s general fund. PID bonds are repaid by these assessments.

Adverse Ruling Consequence

A PID can only exist within a city’s jurisdiction. Under LGC § 372.003, a city may only establish a PID for property within its corporate limits or its ETJ (with consent). If the court voids the annexation, the Beall Dean Ranch is no longer within Willow Park’s boundaries, and the PID is jurisdictionally void.

The consequences depend on the PID’s stage of development:

- **If PID bonds have been issued and sold to investors:** This is the worst-case scenario. PID bonds are secured by the special assessments levied on the property. If the PID is void, the assessments are void, and bondholders have no recourse against the property owners. Depending on bond documents, there may be recourse to the city as issuer, creating a contingent general obligation liability. Additionally, Willow Park and its financial advisor (Hilltop Securities) face potential securities liability for issuing bonds backed by assessments the city had no authority to levy. This could trigger SEC scrutiny, bondholder lawsuits, and credit rating downgrades.
- **If PID bonds have not yet been issued:** The exposure is limited to sunk costs—legal fees for PID creation, Hilltop Securities advisory fees, engineering and assessment methodology costs, public hearing costs, and staff time. These costs are not recoverable. However, the more serious damage is reputational: Willow Park’s credibility in the municipal bond market would be impaired, potentially raising borrowing costs for future legitimate issuances.

3. Tax Increment Reinvestment Zone (TIRZ)

Instrument: TIRZ contemplated in the Development Agreement between Willow Park and Beall-Dean Ranch. Robert Beall specifically referenced both PID and TIRZ financial instruments when addressing the council on November 12, 2024.

Nature of the Instrument

A TIRZ under LGC Chapter 311 captures the incremental property tax revenue above a frozen baseline within a designated reinvestment zone and redirects that increment into the zone for infrastructure, development, and public improvements. The TIRZ does not create new tax liability—it redirects existing property tax growth from the city’s general fund into the zone. TIRZs are frequently used in conjunction with PIDs and development agreements to create a comprehensive financing package for large-scale developments.

Adverse Ruling Consequence

A TIRZ requires valid municipal jurisdiction over the designated property. Under LGC § 311.003, a reinvestment zone must be within a city’s boundaries. If the annexation is voided:

- There is no city property tax on the Beall Dean Ranch land (it reverts to county-only taxation), so there is no tax increment to capture.
- The TIRZ dissolves by operation of law as the jurisdictional predicate fails.
- Any commitments made based on projected TIRZ revenue—developer reimbursement agreements, infrastructure bonds, or participation agreements with Parker County—become unfunded obligations.
- If TIRZ bonds have been issued against projected tax increment revenue, those bonds become unserviceable, triggering the same bondholder exposure described in the PID section above.

The TIRZ exposure compounds the PID exposure because the two instruments were designed to work in tandem. The PID funds infrastructure construction through assessments; the TIRZ reimburses the developer and funds ongoing improvements through captured tax increment. Losing both simultaneously eliminates the entire financing framework for the Beall Dean Ranch development.

4. ESD No. 1 Sales Tax Allocation Agreement

Instrument: Interlocal agreement with Parker County Emergency Services District No. 1, approved November 12, 2024 (sales tax allocation) and February 11, 2025 (interlocal agreement for 317.732 acres, passed 6-0). Twenty-year term.

Nature of the Agreement

Upon annexation, the Beall Dean Ranch property becomes subject to Willow Park’s municipal sales tax. The interlocal agreement with ESD No. 1 allocates a portion of that sales tax revenue to the emergency services district in exchange for the district’s continued provision of fire

and emergency medical services to the annexed territory. The 20-year term reflects the long-term nature of infrastructure and service commitments.

Adverse Ruling Consequence

If the annexation is voided, there is no municipal sales tax on the property (it is no longer within Willow Park's city limits), so there is no sales tax revenue to allocate. The interlocal agreement loses its economic purpose. However, the legal question is whether the agreement survives as a binding obligation between Willow Park and ESD No. 1, even though its underlying premise (annexed territory generating sales tax) has been eliminated. Willow Park may face:

- Unwinding costs and potential breach-of-contract claims if the agreement contains no termination provision for loss of jurisdiction.
- Restitution obligations if any sales tax revenue has already been collected and allocated during the period between annexation (February 2025) and any court order voiding the annexation.
- Damage to the intergovernmental relationship with ESD No. 1, complicating future service agreements.

5. Development Agreement with Beall-Dean Ranch

Instrument: Development Agreement authorized by council resolution on November 12, 2024 (4-0 vote). Executed pursuant to LGC § 212.172. City Attorney Chesser described the ETJ expansion as “the first step of annexation as contemplated by the Development Agreement.”

Nature of the Agreement

Development agreements under LGC § 212.172 are binding contracts between a city and a landowner in the city's ETJ. They typically lock in development standards, zoning guarantees, infrastructure commitments, utility service obligations, and annexation timelines for up to 45 years. They are a powerful tool for both parties: the city secures development standards and future annexation rights; the developer secures regulatory certainty and infrastructure commitments.

Adverse Ruling Consequence

The Development Agreement was executed based on Willow Park's claimed ETJ over the property. If the court finds the ETJ expansion was unlawful, the Development Agreement was executed without jurisdiction and is void or voidable. The consequences include:

- **Sunk commitment costs:** Any infrastructure, engineering, or service commitments Willow Park has already performed or contracted for under the Development Agreement are non-recoverable. The city made promises it can no longer fulfill because it lacks jurisdiction.
- **Beall-Dean Ranch claims:** While Beall-Dean Ranch has intervened in support of Willow Park, if the annexation is ultimately voided, the Ranch may pivot to claims against Willow Park for breach of the Development Agreement or negligent misrepresentation of jurisdictional authority. The Ranch committed significant resources

(legal fees, survey costs, Hilltop Securities advisory fees, development planning) in reliance on Willow Park’s representation that it had authority to annex the property.

- **Third-party reliance:** Contractors, engineers, and consultants who performed work based on the Development Agreement may have claims for unpaid work or stranded costs if the development cannot proceed as planned.

6. Chapter 380 Economic Development Agreement

Instrument: Chapter 380 Agreement with Pulido’s Westland Willow Park LLC, approved February 25, 2025.

While the direct nexus between this Chapter 380 agreement and the Beall Dean Ranch annexation is not fully detailed in the court filings, its approval at the same sequence of council meetings—and its listing alongside the Beall Dean Ranch agenda items—suggests it may be part of the broader development package. If the agreement contemplates economic incentives (tax rebates, infrastructure reimbursement, grants) tied to the annexed territory or development enabled by the annexation, its viability is compromised by an adverse ruling. Under LGC § 380.001, economic incentives must serve a public purpose; incentivizing development on property the city does not control undermines that requirement.

7. The Cascade Effect: Aggregate Financial Exposure

What makes Willow Park’s financial position uniquely precarious is that none of these instruments exist independently. They were designed as an interlocking financial architecture—each instrument dependent on the others and all dependent on the jurisdictional predicate of valid annexation:

If This Fails...	Then This Collapses...
ETJ Expansion (Ord. 914-24)	Development Agreement, annexation petition acceptance, PID petition acceptance, and all downstream instruments
Road Corridor Annexation (Ord. 917-25)	Contiguity for Beall Dean Ranch annexation; if no contiguity, Ord. 918-25 fails on independent procedural grounds
Beall Dean Ranch Annexation (Ord. 918-25)	PID, TIRZ, ESD interlocal, certificates of obligation purpose, Chapter 380 agreement, all municipal authority over property
PID Void	PID bonds unserviceable, assessments void, potential bondholder and securities liability
TIRZ Void	No tax increment capture, developer reimbursement commitments unfunded, TIRZ bonds unserviceable

Case Timeline: City of Aledo & Fort Worth v. City of Willow Park

Chronological Record of Key Events

From the foundational Texas annexation framework through active litigation — all events sourced from court filings in CV26-0175.

LEGISLATIVE

LEGAL ACTION

DEVELOPMENT

PROCEDURAL

CRITICAL

1963

LEGISLATIVE

Texas Municipal Annexation Act

ETJ framework established. Fort Worth, Aledo, and Willow Park each acquire ETJ radius based on population under LGC § 42.021.

2016-2017

LEGAL ACTION

Weatherford v. Willow Park (CV-16-1468)

Agreed Judgment requires Willow Park to disannex 81.928 acres, pay \$30,000 in fees, and comply with all annexation laws going forward.

2019

LEGISLATIVE

SB 6 Restructures Annexation Law

Consent-based annexation becomes the default under LGC Ch. 43, Subch. C-1.

June 23, 2022

DEVELOPMENT

Aledo-Levens Capital Development Agreement

Aledo executes Development Agreement with Levens Capital Partners for "Dean Ranch" property under LGC § 212.172. Establishes active ETJ governance.

March 2022

DEVELOPMENT

Beall Dean Ranch Survey

Bridges Baker Surveyors prepares survey of Beall Dean Ranch property (321.456 acres, Parker County).

2023

LEGISLATIVE

SB 2038 ETJ Release Mechanism Enacted

Legislature creates ETJ release petition mechanism (LGC §§ 42.101-42.105, 42.151-42.156). Multiple cities file constitutional challenge in Travis County.

March 28, 2024

LEGAL ACTION

Aledo Denies ETJ Release Petition

Aledo denies ETJ release petition from Brothers in Christ Properties LLC, demonstrating active ETJ enforcement in the area.

November 12, 2024

CRITICAL

Willow Park Council — 7-Item Omnibus Vote (4-0)

Council approves: ETJ expansion (Ord. 914-24), Development Agreement, annexation petition acceptance, PID petition, Hilltop Securities advisory agreement, ESD #1 sales tax agreement (20-year), and \$5.135M Certificates of Obligation. Mayor Moss and Councilmember Crummel absent.

January 14, 2025

PROCEDURAL

Public Hearings Held

Public hearings on proposed annexation of Beall Dean Ranch (317.732 acres) and 10.98-acre E. Bankhead Highway right-of-way.

Case Timeline: City of Aledo & Fort Worth v. City of Willow Park

February 11, 2025

CRITICAL**Annexation Ordinances Adopted (5-0, Full Council)**

Ordinance 917-25: Annexation of 10.98-acre E. Bankhead Highway ROW (§ 43.1055).

Ordinance 918-25: Annexation of 317.732-acre Beall Dean Ranch (§ 43.0671).

ESD #1 interlocal agreement (6-0). Signed by Mayor Moss; filed as Parker County Document No. 202503850.

February 25, 2025

DEVELOPMENT**Chapter 380 Economic Development Agreement**

Council approves Chapter 380 Agreement with Pulido's Westland Willow Park LLC and ratifies February 11 minutes.

February 2026

LEGAL ACTION**Litigation Filed — CV26-0175**

Aledo and Fort Worth file suit. Emergency Motion to Disqualify Messer Fort PLLC filed. Beall-Dean Ranch files Plea in Intervention. Subpoenas issued to Kimley-Horn and Freese and Nichols (production deadline March 5, 2026).

Tabulated Data Addendum: Willow Park Legal Exposure Brief

This addendum compiles the principal data tables from the Legal Exposure Brief into a single reference document. All information is drawn from court filings in Cause No. CV26-0175, 43rd Judicial District Court, Parker County, Texas.

Table A — Parties & Counsel

All parties of record in CV26-0175 as identified in the court filings.

PARTY	ROLE	POPULATION / TYPE	COUNSEL OF RECORD
City of Aledo	Plaintiff	~5,000 General-law municipality	Taylor, Olson, Adkins, Sralla & Elam, LLP (TOASE) Tammy Ardolf • Alicia K. Kreh • Rachel Raggio • Natalee Maxwell
City of Fort Worth	Plaintiff	900,000+ Home-rule municipality	City of Fort Worth Law Dept. Christopher Mosley • Rich McCracken
City of Willow Park	Defendant	~6,300 Type A general-law municipality	Messer Fort PLLC Wm. Andrew Messer • Bradford E. Bullock • Arturo D. Rodriguez Jr. Julie Fort • Sherry Brown • Ashlin Guzman City Attorney: William P. (Pat) Chesser
Beall-Dean Ranch, Ltd.	Intervenor (Pro-Defendant)	Limited Partnership Robert S. Beall, GP Manager	Winstead PC Arthur J. Anderson
Kimley-Horn & Associates	Non-party (Subpoenaed)	Engineering / Consulting	In-house counsel: Caroline S. Lawhorn Motion to Quash filed
Freese and Nichols, Inc.	Non-party (Subpoenaed)	Engineering / Consulting	Production deadline: March 5, 2026
Hilltop Securities (Jason Hughes)	Non-party (Financial Advisor)	Municipal finance advisory	Retained by Willow Park to structure PID and TIRZ instruments
Parker County ESD No. 1	Non-party (Interlocal Party)	Emergency services district	Sales tax allocation interlocal agreement with Willow Park (20-year term)

Table B — Risk Assessment Matrix

Comprehensive exposure evaluation across six risk categories, with likelihood, impact, and key determinative factors.

RISK CATEGORY	LIKELIHOOD	IMPACT	KEY DETERMINATIVE FACTOR
ETJ Jurisdictional Challenge Succeeds	MEDIUM-HIGH	CRITICAL	Depends on whether Aledo's 1-mile ETJ radius (population ~5,000 under LGC § 42.021) reaches the Beall Dean Ranch. Engineering/survey data subpoenaed from Kimley-Horn and Freese and Nichols will be decisive. This is the foundational question — all other exposure flows from it.
Attorney Disqualification Granted (Messer Fort PLLC)	HIGH	HIGH	Concurrent representation of Aledo in SB 2038 constitutional challenge (Travis County) while defending Willow Park's reliance on SB 2038 presents a textbook Rule 1.06 conflict. If granted, Willow Park must retain new counsel mid-litigation at significant cost and delay.
Annexation Ordinances Voided (Ord. 918-25 & 917-25)	MEDIUM	CRITICAL	Follows directly from the ETJ challenge. If Ord. 914-24 (ETJ expansion) is void, the property was never lawfully in Willow Park's ETJ, rendering the annexation ultra vires. The corridor annexation of E. Bankhead Highway ROW is independently vulnerable as pretext.

Tabulated Data Addendum

RISK CATEGORY	LIKELIHOOD	IMPACT	KEY DETERMINATIVE FACTOR
Financial Instruments Invalidated (PID / TIRZ / CO / ESD)	MEDIUM	SEVERE	\$5.135M in Certificates of Obligation are a general obligation — the city is liable regardless of annexation outcome. PID and TIRZ require valid municipal jurisdiction; both collapse if annexation is voided. 20-year ESD interlocal must be unwound.
Prior Judgment Violation Found (CV-16-1468 Contempt)	LOW-MEDIUM	HIGH	2017 Agreed Judgment required Willow Park to 'comply with all applicable provisions of state law governing municipal annexation.' A finding of unlawful annexation could support contempt sanctions and establishes a pattern of overreach that undermines the city's credibility with the court.
SB 2038 Struck Down (Travis County, D-1-GN-23-007785)	MEDIUM	CRITICAL	If SB 2038 is ruled unconstitutional, the property cannot have been validly released from Fort Worth's ETJ. This would eliminate the statutory predicate for Willow Park's entire position. The Travis County case is on its own schedule but directly affects this litigation.
TRO / Preliminary Injunction Granted	MEDIUM	HIGH	Would freeze Willow Park's exercise of municipal authority over the annexed territory pending trial. Disrupts the Beall Dean Ranch development, halts PID/TIRZ implementation, and may toll utility service obligations under the annexation services agreement.

Tabulated Data Addendum

Table C — Financial Exposure Summary

Instrument-by-instrument breakdown of quantified and contingent financial exposure in an adverse-ruling scenario. All instruments were approved as an interlocking package at the November 12, 2024 and February 11, 2025 council meetings.

INSTRUMENT	KNOWN EXPOSURE	STATUS	RISK	KEY NOTES
Certificates of Obligation (Series 2024A)	\$5,135,000 + interest	General obligation — city liable regardless of outcome	CRITICAL	Nov. 12, 2024 (4–0 vote). Designated for water/wastewater infrastructure serving Beall Dean Ranch. If annexation voided, Willow Park taxpayers (~\$815/capita) absorb debt with no offsetting revenue from the development.
Public Improvement District (PID) Bonds	TBD — potentially millions	Voided if annexation void; bondholder exposure possible	HIGH	PID requires valid municipal jurisdiction (LGC § 372.003). If bonds issued: assessments void, bondholders have no property recourse, potential SEC scrutiny and securities liability. If not yet issued: sunk advisory/legal costs only.
Tax Increment Reinvestment Zone (TIRZ)	TBD — projected increment eliminated	Revenue stream gone; commitments unfunded	HIGH	TIRZ requires city boundaries (LGC § 311.003). No city property tax on ranch land if annexation voided — no increment to capture. Any developer reimbursement agreements or TIRZ bonds become unserviceable obligations.
ESD No. 1 Sales Tax Allocation (20-year)	TBD — unwinding costs	Potential breach of contract claims if no termination clause	ELEVATED	Approved Nov. 12, 2024 and Feb. 11, 2025. No sales tax revenue from property outside city limits. Willow Park may face restitution for any allocations made Feb. 2025–present plus damage to intergovernmental relationship with ESD No. 1.
Development Agreement (LGC § 212.172)	Sunk commitment costs; non-recoverable	Void or voidable if ETJ expansion unlawful	ELEVATED	Executed without valid jurisdiction if ETJ expansion void. Infrastructure/service commitments already performed are non-recoverable. Beall-Dean Ranch may pivot to claims against Willow Park for breach or negligent misrepresentation of authority.
Chapter 380 Agreement (Pulido's Westland Willow Park LLC)	TBD — incentives at risk	Public purpose undermined if property not controlled	MODERATE	Approved Feb. 25, 2025. If economic incentives are tied to annexed territory or development enabled by the annexation, viability is compromised. LGC § 380.001 requires incentives serve a public purpose.
Hilltop Securities Advisory Fees	Sunk cost	Non-recoverable	LOW-MEDIUM	Advisory fees for PID/TIRZ structuring are fully sunk regardless of outcome. Amount not disclosed in court filings.
Engineering / Infrastructure Costs	TBD — potentially significant	Sunk if construction commenced	MEDIUM	Degree of exposure depends on whether water/wastewater construction has begun. Once infrastructure is built extending to the ranch property, all costs are stranded if the city loses jurisdiction.
Legal Fees — Current + Replacement Counsel	TBD — compounding	Escalated significantly if Messer Fort disqualified	HIGH	Standard municipal litigation costs compounded by: (1) potential replacement of entire legal team mid-litigation if disqualification granted; (2) new counsel learning curve on a complex, document-intensive case with imminent production deadlines.
Potential Beall-Dean Ranch Claims	TBD — reliance damages	Landowner may pivot to claims against city	ELEVATED	Ranch committed significant resources (legal, survey, advisory, development planning) in reliance on Willow Park's representation of annexation authority. If annexation voided and development halted, the Ranch may seek reliance damages from the city.

Tabulated Data Addendum

QUANTIFIED MINIMUM EXPOSURE	\$5,135,000	Certificates of Obligation (Series 2024A) — general obligation of the city
TOTAL CONTINGENT EXPOSURE	Potentially catastrophic	PID bonds + TIRZ obligations + ESD unwinding + legal fees + landowner claims + sunk infrastructure costs — aggregate exposure for a city of 6,300 residents may far exceed the quantified \$5.135M floor.

Table D — Cascade Effect: Instrument Interdependency

All financial and legal instruments were structured as an interlocking package. Failure of any foundational element triggers collapse of dependent instruments downstream.

IF THIS INSTRUMENT FAILS...	...THEN THESE INSTRUMENTS COLLAPSE	MECHANISM
ETJ Expansion (Ord. 914-24)	Development Agreement • PID petition acceptance • Annexation petition acceptance • All downstream financial instruments	Property was never lawfully in Willow Park's ETJ. All actions taken in reliance on the ETJ expansion lack jurisdictional foundation.
Road Corridor Annexation (Ord. 917-25)	Beall Dean Ranch annexation (Ord. 918-25) — fails on independent contiguity grounds	Without the 10.98-acre E. Bankhead Highway ROW, Willow Park cannot establish contiguity between its existing limits and the ranch (LGC § 42.022(b)).
Beall Dean Ranch Annexation (Ord. 918-25)	PID (no jurisdiction) • TIRZ (no increment) • ESD interlocal (no sales tax) • Certificates of Obligation purpose (infrastructure serves non-city land) • Chapter 380 Agreement (public purpose fails) • All municipal authority over property	Annexation is the jurisdictional predicate for all regulatory and financial instruments tied to the Beall Dean Ranch property.
PID Bonds (if issued)	Assessments voided • Bondholders lose property recourse • Potential securities liability for city and financial advisor	PID assessments are the security backing the bonds. No jurisdiction = no valid assessment. Potential SEC scrutiny and bondholder litigation.
TIRZ (if implemented)	Developer reimbursement agreements unfunded • Any TIRZ bonds unserviceable • Infrastructure financing framework collapses	TIRZ captures incremental property tax growth. No city jurisdiction = no city property tax = no increment. All forward commitments based on projected increment become unfunded.
SB 2038 (struck down in Travis Co.)	ETJ release from Fort Worth void • Property reverts to Fort Worth ETJ • Willow Park's entire statutory position eliminated	Willow Park's defense depends on the validity of the SB 2038 release mechanism. Constitutional invalidity of SB 2038 eliminates the predicate for the property's release from Fort Worth's ETJ.

Table E — Key Willow Park Personnel

Officials and staff identified in the court record as having material roles in the annexation process.

NAME	ROLE	SIGNIFICANCE TO CASE
Doyle Moss	Mayor	Signed Ordinance 918-25 (final annexation) and the prior Weatherford Agreed Judgment. Notably absent from November 12, 2024 meeting where ETJ expansion, DA, PID, and \$5.135M in Certificates of Obligation were approved 4–0.
Lea Young	Mayor Pro Tem	Presided over the November 12, 2024 meeting in the Mayor's absence. Cast the deciding votes on all seven agenda items including the ETJ expansion and certificate of obligation authorization.
Bryan Grimes	City Manager	Led staff presentations on water, wastewater, utility rates, and zoning for the annexed property. Primary administrative architect of the annexation package.

Tabulated Data Addendum

NAME	ROLE	SIGNIFICANCE TO CASE
William P. (Pat) Chesser	City Attorney	Stated publicly that the ETJ expansion was 'the first step of annexation as contemplated by the Development Agreement.' Approved the form of Ordinance 918-25. His characterization of the ETJ expansion as contractually predetermined may be used against the city.
Toni Fisher / Deana McMullen	City Secretary (interim / successor)	Fisher served as City Secretary during the critical November 2024 – February 2025 period and attested the annexation ordinances. McMullen certified the final ordinances for filing with Parker County.
Robert S. Beall	Beall-Dean Ranch, Ltd. Manager / General Partner	Signed the voluntary ETJ petition and voluntary annexation petition. Addressed the council at the November 12, 2024 meeting; referenced both PID and TIRZ instruments in his remarks. The driving private-sector force behind the annexation and development timeline.

** This addendum is a reference supplement to the Willow Park Legal Exposure Brief (March 2026). It does not constitute legal advice. Consult a licensed Texas attorney for legal guidance on any matters discussed herein. All information is sourced from publicly filed court documents in CV26-0175.*

Summary of Estimated Financial Exposure

Instrument	Known Exposure	Status / Risk Level
Certificates of Obligation (Series 2024A)	\$5,135,000 + interest	General obligation; city liable regardless
PID Bonds (if issued)	TBD (potentially millions)	Void if annexation void; bondholder exposure
TIRZ Obligations	TBD	Revenue stream eliminated; commitments unfunded
ESD No. 1 Interlocal (20-year)	TBD	Unwinding costs; potential breach claims
Hilltop Securities Advisory Fees	Sunk cost	Non-recoverable
Engineering / Infrastructure Costs	TBD (potentially significant)	Sunk if construction commenced
Legal Fees (original + replacement counsel)	TBD	Compounded if Messer Fort disqualified
Potential Beall-Dean Ranch Claims	TBD	Reliance damages if Ranch pivots to claims against city

Addendum Conclusion

The aggregate financial exposure from an adverse ruling extends well beyond the quantified \$5.135 million in certificates of obligation. When PID bonds, TIRZ commitments, interlocal obligations, sunk advisory and engineering costs, replacement counsel fees, and potential landowner claims are factored in, the total exposure for a city of 6,300 residents is potentially catastrophic. This is the core asymmetry in the litigation: Aledo and Fort Worth are fighting over jurisdictional turf, but Willow Park is fighting to avoid a financial crisis of its own making. Every dollar spent on the Beall Dean Ranch development is a dollar at risk if the court determines Willow Park never had jurisdiction over the property.

END OF BRIEF AND ADDENDUM

This analysis is based solely on the court filings and exhibits available in the case file as of March 2, 2026.

It does not constitute legal advice and should not be relied upon as such.

A licensed Texas attorney should be consulted for legal guidance on any matters discussed herein.